CA11 Financial Accounting — Original Revision Primer

Author: Certiprep research project. Status: Original introductory primer; not a KASNEB-endorsed syllabus replacement.

1. Accounting equation

Assets = Liabilities + Equity.

Example

A business begins with KES 200,000 cash invested by its owner. It buys equipment for KES 60,000 cash and supplies costing KES 15,000 on credit.

Cash: KES 140,000; equipment: KES 60,000; supplies: KES 15,000. Total assets: KES 215,000. Liabilities: KES 15,000. Equity: KES 200,000.

2. Double entry

Every transaction has equal debits and credits. An increase in an asset is normally debited; an increase in a liability is normally credited.

Journal example

Equipment purchased for KES 60,000 cash:

- Dr Equipment KES 60,000
- Cr Cash KES 60,000

Supplies purchased on credit:

- Dr Supplies KES 15,000
- Cr Accounts payable KES 15,000

3. Accrual accounting

Revenue is recognised when earned and expenses when incurred, rather than simply when cash changes hands. Current recognition requirements must be checked against applicable IFRS standards.

Worked exercise

A consulting business bills KES 80,000 for work completed in March but receives payment in April. Under the accrual basis, recognise KES 80,000 revenue and a receivable in March. April cash collection settles the receivable; it is not new revenue.

4. Practice

Q1. A company pays KES 12,000 rent in advance. Give the initial journal entry.

Q2. A company receives KES 25,000 against a previously issued invoice. What changes in the accounting equation?

Q3. A company has assets of KES 430,000 and liabilities of KES 175,000. Calculate equity.

Answers

A1. Dr Prepaid rent KES 12,000; Cr Cash KES 12,000.

A2. Cash increases KES 25,000; trade receivables decrease KES 25,000. Total assets are unchanged.

A3. Equity = KES 430,000 - KES 175,000 = KES 255,000.

Important

Apply the current KASNEB CA11 syllabus to determine examination scope. This short guide does not replace current IFRS, legal requirements or KASNEB publications.